

Calendar Line 4

Case Name: Olivo v. Khanna Enterprises General Partner, et al. (Class Action)
Case No.: 22CV409085

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class and representative action arising from alleged wage and hour violations. On December 27, 2022, plaintiff Andres Cedeno Olivo (“Plaintiff”) began this action by filing a class action complaint against defendants Khanna Enterprises II, Limited Partnership, Khanna Enterprises IV Limited Partnership, Khanna Enterprises VI, LP, and Khanna Enterprises, Limited (collectively, “Defendants”). On April 3, 2023, Plaintiff filed the operative first amended class action complaint, asserting various causes of action based on Labor Code violations, including a cause of action for civil penalties pursuant to the Private Attorneys General Act (“PAGA”).

On July 20, 2023, the court issued an order on the parties’ stipulation to dismiss Plaintiff’s class claims and submit Plaintiff’s individual PAGA claims to arbitration, pursuant to an arbitration agreement executed by Plaintiff prior to his employment. The order also stayed Plaintiff’s non-individual PAGA claims pending the outcome of the California Supreme Court’s decision in *Adolph v. Uber Technologies* (2023) 14 Cal.5th 1104.

The parties have reached a settlement, and Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. Legal Standard for PAGA Settlement Approval

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA

go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Discussion

A. Provisions of the Settlement

Plaintiff moves for approval of a settlement made on behalf of group of “Aggrieved Employees,” defined as follows:

[A]ll individuals employed by Defendants as non-exempt employees in California at any time during the period from January 27, 2022 through the earlier of: (a) November 6, 2024 or (b) the date of entry of the Order and Judgment.

(Declaration of Raul Perez (“Perez Decl.”), Ex. 1 (“Agreement”), ¶ 2.)

Defendants will pay a non-reversionary gross settlement amount of \$550,000. (Agreement, ¶ 4.) This amount includes attorney fees of up to \$183,333, litigation costs not to exceed \$25,000, a service award to Plaintiff of \$10,000, and settlement administration expenses of up to \$6,250. (*Id.* at ¶¶ 15-18.) The parties will retain ILYM Group, Inc. as the entity to responsible for administering the settlement. (*Id.* at ¶ 18.) The court approves and appoints ILYM Group, Inc. as the settlement administrator. Of the remaining net settlement amount, 75 percent will be paid to the LWDA and 25 percent will be distributed to aggrieved employees based on the pro rata number of pay periods worked during the PAGA Period. (*Id.* at ¶ 14.) Funds from checks that are not cashed within 180 days from the date of mailing will be sent to The Justice Gap Fund maintained by The State Bar of California. (*Id.* at ¶ 22.)

In exchange for the settlement, the aggrieved employees agree to release the Defendants and entities from “any and all claims for PAGA civil penalties under the California Labor Code, Wage Orders, regulations, and/or other provisions of law alleged or could have been alleged to have been violated in the Action with respect to Aggrieved Employees based on the facts alleged in the Action during the Settlement Period.” (Agreement, ¶¶ 9, 23) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the parties negotiated a fair and reasonable settlement. (Memorandum, pp. 8:1-11:28.) Plaintiff’s counsel explains that the settlement is the product of the parties’ participation in mediation with Marc Feder, esq., following the exchange of informal discovery. (Perez Decl., ¶¶ 4-6.) Prior to mediation, Defendants produced employee demographic data, a sample of Aggrieved Employees’ time and pay records, and Defendants’ labor policies and procedures. (*Id.* at ¶ 9.) Plaintiff’s counsel performed a thorough investigation into the claims at issue and asserts that the settlement represents a fair and reasonable compromise of Plaintiff’s claims balanced against the risks of continued litigation and the defenses asserted by Defendants. (*Id.* at ¶¶ 10-11.)

Plaintiff's counsel provides an analysis of Defendants' exposure based on a total of approximately 850 aggrieved employees and 22,000 applicable pay periods during the settlement period. (Perez Decl., ¶¶ 12-44.) According to this analysis, Defendants' estimated total maximum exposure is approximately \$13,247,500, and Defendants' estimated total realistic exposure is \$2,094,750. (*Id.* at ¶ 44.) Plaintiff's counsel provides of breakdown of these amounts by claim and addresses the associated risks and defenses.

The gross settlement amount of \$550,000 represents approximately 4.1 percent of Defendants' estimated maximum exposure. Based on the estimated maximum exposure and the general range of percentage recoveries that California courts have found to be reasonable, the gross settlement amount is somewhat low. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases indicating that a general range of 5 to 35 percent of the maximum potential exposure is reasonable].) Nevertheless, Plaintiff's counsel sufficiently explains the rationale for the settlement amount, particularly considering the available defenses and the facts that courts have wide discretion to reduce PAGA penalty amount. The settlement amount represents a substantial 26.3 percent of Defendants' estimated realistic exposure.

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiff's case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Incentive Award, Fees and Costs

As part of the settlement, Plaintiff seeks a service award in the amount of \$10,000. Although service awards are common in class actions, there is less authority regarding the propriety of service awards in PAGA cases. Nevertheless, a PAGA case is a representative action like a class action, and courts have recognized that an individual's willingness to act as a private attorney general may merit a service award. (See *Rodriguez v. West Publishing Corp.* (9th Cir. 2009) 563 F.3d 948, 959.)

Plaintiff has submitted a declaration detailing his participation in the action. He states that he has spent between 25 and 35 hours on this case, including discussing the case with counsel, gathering facts and documents, and carefully reviewing the complaint and proposed settlement. (Declaration of Andres Olivo, ¶¶ 4-12.) In exchange for the service award, Plaintiff also agreed to a general release of all claims arising out of his employment with Defendants. (Agreement, ¶¶ 8, 16.) The court finds that a service award is appropriate and that the amount requested is reasonable under the circumstances. Therefore, the court approves the service award in the requested amount.

Plaintiff's counsel seeks attorney fees of \$183,333 (one-third of the gross settlement amount). (Memorandum, pp. 12:1-17:17; Agreement, ¶ 15.) Counsel submits that Plaintiff has incurred a lodestar of \$149,242.50 in this action, based on a total of 224 hours billed at rates ranging from \$475 per hour to \$950 per hour. (Perez Decl., ¶¶ 58-59.) This results in a multiplier of 1.23, which is within the range of multipliers that courts typically approve. (See *Wershba*, supra, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].) The benefits achieved by the settlement justify an award of attorney fees to counsel. The court finds that the requested attorney fee award is reasonable as a percentage of the common fund and therefore approves an attorney fee award in the requested amount.

Plaintiff's counsel also requests litigation costs in the total amount of \$11,670.40 and provides a list of costs incurred in that amount. (Perez Decl., ¶ 62.) This is under the \$25,000 maximum for costs as set by the Agreement. Therefore, the court approves the reimbursement of costs in the amount requested. Settlement administration costs up to a maximum of \$6,250 are also approved. (Agreement, ¶ 18.)

IV. Conclusion

The motion for approval of PAGA settlement is GRANTED. The court sets a compliance hearing for December 3, 2025 at 2:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: Becerril v. Watersavers Irrigation, Inc. (Class Action)
Case No.: 23CV410334

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a class and representative action arising out of alleged wage and hour violations brought by plaintiffs Isaiah Becerril and Brian Cruz (collectively, “Plaintiffs”) against defendant Watersavers Irrigation, Inc. (“Defendant”). On January 25, 2023, Plaintiff Becerril initiated this action by filing a Class Action Complaint for Damages, setting forth several causes of action under the California Labor Code and one cause of action for violation of California Business & Professions Code, section 17200, *et seq.* (the Unfair Competition Law [“UCL”]). On June 29, 2023, Plaintiff Becerril filed a First Amended Complaint, setting forth a sole cause of action for violation of the UCL.

The operative Second Amended Class Action Complaint (“SAC”), filed on January 1, 2024, adds Mr. Cruz as a Plaintiff and sets forth the following causes of action: (1) Violation of California Labor Code, §§ 510 and 1198 (Unpaid Overtime); (2) Violation of California Labor Code, §§ 226.7 and 512, subd. (a) (Unpaid Meal Period Premiums); (3) Violation of California Labor Code, § 226.7 (Unpaid Rest Period Premiums); (4) Violation of California Labor Code, §§ 1194 and 1197 (Unpaid Minimum Wages); (5) Violation of California Labor Code, §§ 201 and 202 (Final Wages Not Timely Paid); (6) Violation of California Labor Code, § 226, subd. (a) (Non-Complaint Wage Statements); (7) Violation of California Labor Code, §§ 2800 and 2802 (Unreimbursed Business Expenses); (8) Violation of California Labor Code, § 2698, *et seq.* (Private Attorneys General Act of 2004); (9) Violation of California Business & Professions Code, § 17200, *et seq.*